

Title: Monopoly, Quality, and Costly Information

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Abstract:

A seller offers a buyer a schedule of transfers and associated product qualities. After observing this schedule, the buyer chooses a flexible costly signal about his type. We show it is without loss to focus on a class of allocations that compensate the buyer for his marginal learning costs. In the optimal menu, all types typically receive lower-than-efficient quality (including “at the top”). Moreover, distortions are, on average, more intense than under standard screening, even when no information is acquired. Profits are non-monotonic in the level of information costs, and the consumer may be better off when such costs are low than when information is free.

Paper:

The project is merging two independent papers:

- [“Monopoly, Product Quality, and Flexible Learning,”](#) by Jeffrey Mensch and Doron Ravid.
- [“Screening Costly Information,”](#) by João Thereze.